## INTRODUCTION TO MACROECONOMICS

In *microeconomic* theory, full employment of resources is generally assumed, so that the focus of the analysis is on the determination of relative prices and the allocation of scarce resources among alternative uses,

On the other hand, *macroeconomics* focuses on the ***level of utilization of resources***-especially the level of employment-and the general level of prices.

In addition, within macroeconomics we consider the' question of what determines **the rate of growth of resources**-the growth of potential output-as well as the determinants of their level of utilization at any one time.

Macroeconomics is the study of aggregates or averages covering the entire economy such as total employment, unemployment, national income, national output, total savings, aggregate supply, aggregate demand and general price level, wage level, interest rates and cost structures. It is aggregative economics which examines interrelations among various aggregates, their determination and causes of fluctuations in them.

## ACTUAL AND POTENTIAL OUTPUT

Most of macroeconomic theory focuses on two main questions:

1. What determines the **path-level and rate of growth-of full employment,** or potential output? This is the question of growth theory.
2. What determines **the level of actual output relative to potential at any one time**? This is the question of income determination or stabilization theory.
3. A third question concerning the **behavior of the price level-the rate of inflation-**can be added to the second of these two Central questions.

Ackley describes macroeconomics as one dealing with economic affairs in the large; it concerns the overall dimensions of economic life.

- It is also known as the theory of **income analysis;** concerned with problems of unemployment, economic fluctuations, inflation, deflation, instability, stagnation, international trade and economic growth.
- In **unemployment;** causes of unemployment and the various determinants of unemployment.
- In **business cycles;** concerned with the effect of investment on total output, total income and aggregate employment.
- In **monetary**; concerned with the effect of total quantity of money on the general price level.
- In **international trade**; problems of balance of payments and foreign aid
- In **economic growth**; factors that retard growth and those which bring the economy on the path of economic development.

## SCOPE AND IMPORTANCE

As a method of economic analysis macro economics is much of theoretical and practical importance;

1. ***To understand the workings of the economy.*** The study of macroeconomic variables is indispensable for understanding the works of the economy. Our main economic problems are related **to behavior of total income, output, employment and general price levels in the economy.** These variables are statistically measurable, thereby facilitating the possibility of analyzing effects on the functions of the economy. Tinbergen observes that macroeconomic concepts help in 'making the elimination process understandable and transparent.' E.g one may not agree on the best method of measuring different prices but general price level is helpful in understanding the nature of the economy.

2. ***In economic policies.*** Macro economics is extremely useful from the point of view of economic policy. Modern governments especially of the underdeveloped economies are confronted with innumerable national problems such as **overpopulation, inflation, balance of payments, underproduction, e.t.c.** The main responsibilities of these governments lie in the regulation and control of these problems. Tinbergen says working with macroeconomic concept is a bare necessity in order to contribute to solutions of the great problems of our times.

   **Macroeconomics as a solution to complex economic problems**

   a) In General employment
   b) In national income
   c) In economic growth
   d) In monetary problems
   e) In business cycles
   f) For understanding the behaviour of individual units

**3. For understanding the behavior of individual units.**

This makes macro economics imperative. Demand for products depends on aggregate demand in the economy. **Unless the causes of deficiency in aggregate are analyzed**, it is not possible to fully understand the reason for a fall in demand of individual products. These reasons include costs of particular firm or industry cannot be analyzed without knowing the average cost condition of the whole economy. Thus the study of individual units is not possible without macroeconomics.

## MACRO-ECONOMIC POLICY OBJECTIVES

The major macro-economic policy objectives which the governments strive to achieve are:

**i. Full employment**

One of the main objectives of all governments is the control of employment or full employment. However economists are not agreed on what constitutes full employment. But we can say **full employment exists when everyone who wants a job and is capable of doing a job is able to find one**.

ii. **The control of inflation**

Since most monetarists believe that **inflation has a negative effect upon economic growth** as it increases uncertainty and discourages savings, maintaining stable prices usually is a major objective of most governments.

iii. **High Growth rates**

For most people, economic growth remains the prime objective of policy as it **allows everyone to enjoy a better standard of living.**

iv. **Balance of payments equilibrium**

Most governments like to have an **equilibrium position in the Balance of payments** accounts as there are problems associated with both sides of disequilibrium.

v. **Equitable distribution of income**

## DEVELOPMENT OF MACROECONOMIC THEORY

Partly as a **reaction to the Great Depression** -that's what the historians call it, even though one suspects the people living then didn't think it was so 1930s, and with the publication of Keynes, The General Theory of employment, Interest and Money in 1936, modern microeconomics has developed as an analytical framework for understanding what causes 1arge and sometimes prolonged, fluctuations in the level of employment.

**From 1950 to the early 1970**, post-Keynesian macroeconomic analysis ***focused almost exclusively on those fluctuations in employment that had their origins in fluctuations in aggregate demand.*** Implicit in this demand-oriented analysis, and soon made explicit was the explanation of how to prevent such fluctuations, that is, how to keep the economy operating near full employment. Once this was understood, in the period from World War II to 1972, the economy kept operating reasonably close to its full-employment level, with exceptions in 1949, 1954, 1958, 1961, and 1970. These recessions were mild, compared with unemployment rates of 15 to25 percent in the 1930s.

***In 1974 a deep recession developed that had its origins in a shift in aggregate supply, mainly from the first oil price increase.*** This possibility was largely ignored by previous macroeconomic analysis. By 1915 the unemployment rate reached 9 percent and the rate of inflation reached 10 Percent. ***This shift in the source of fluctuations moved macroeconomics on to the study of the supply side***, completing the earlier story begun on the demand side: This work is included at several points in this book to integrate both demand and supply disturbances into the analysis of fluctuations in employment.

***In 1980, demand expansion and the second oil price increase pushed inflation back above 10 percent***. The deep recession of 1982 brought unemployment above 10 percent, but reduced inflation surprisingly quickly. ***This illustrated the important role of inflation expectations in the economy***. Since the 1970 macroeconomists have increasingly integrated expectations into their analysis of the economy.

One important consequence of the development of modern macroeconomics, which has taught us reasonably well ***how to maintain full employment is that it restores the importance of classical microeconomics,*** as suggested by Samuelson's term the neoclassical synthesis. ***If the economy is operating near full employment the theory of optimum allocation of scarce resources is once again valid and crucially important***. Increases in output under these conditions do have opportunity costs; for example, a $25 billion increase in defense spending from mid-1965 to mid-1967, once the economy had reached roughly full employment in 1965, had to come from reduced output somewhere. In that case, it came mainly from reduced output of housing and consumers durables, at a time when family formation was soaring.

Another ***result of approximate mastery of the theory of income determination*** the turn of the macroeconomist's attention to dynamic questions of growth the 196Os,and the medium-term dynamics that move the economy from initial equilibrium towards a long-run growth path in the 1970s.

## SCHOOLS OF THOUGHT

There have long been two main intellectual traditions in macroeconomics. One school of thought believes ***that markets work best if left to themselves***; the other believes that government intervention can significantly improve the operation of the economy.

- In the 1960s, the debate on these questions involved
  - *monetarists,* led by Milton Friedman, on one side, and
  - *Keynesians,* including Franco Modigliani and James Tobin, on the other.
- In the 1970s, a new group- *the new classical macroeconomists,* who by and large replaced the monetarists ***in keeping up the argument against using active government policies to try to improve economic performance.***
- On the other side are third-generation Keynesians; they may not share many of the detailed beliefs of Keynesians three or four decades ago, ***except the belief that government policy can help the economy perform better.***

## THE NEW CLASSICAL SCHOOL

- The new classical macroeconomics, which developed in the 1970s, remained influential in the 1980s.
- This school of macroeconomics, which includes among its leaders Robert Lucas, Thomas Sargent, Robert Barro, and Edward Prescott and Neil Wallace of the University of Minnesota, shares many policy views with Friedman.

- It sees the world as one in ***which individuals act rationally in their self-interest in markets that adjust rapidly to changing conditions.***
- The government, it is claimed, is ***likely only to make things worse by intervening.***

Their approach is a challenge to traditional macroeconomics, which sees a role for useful government action in an ***economy that is viewed as adjusting sluggishly,*** with slowly responding prices, poor information, and social customs impeding the rapid clearing of markets.

The central working assumptions of the new classical school are three:"

- **Economic agents *maximize*.** Households and firms make *optimal* decisions. This means that they use all available information in reaching decisions and that those decisions are the best possible in the circumstances in which they find themselves.
- Expectations are *rational,* which means they are statistically the best predictions of the future that can be made using the available information.
  - Indeed, the new classical school is sometimes described as the *rational expectations school,* even though rational expectations are only one part of the theoretical approach of the new classical economists.
  - Rational expectations imply that ***people will eventually come to understand whatever government policy is being used***, and thus that ***it is not possible to fool most of the people all the time*** or even most of the time.
- ***Markets clear.*** There is ***no reason*** why firms or workers ***would not*** adjust wages or prices if that ***would make them better off***. Accordingly prices and wages adjust in order to equate supply and demand; in other words, markets clear. Market clearing is a powerful assumption, as we shall see presently.

One dramatic ***implication of these assumptions***, which seem so reasonable individually, is that ***there is no possibility for involuntary unemployment***. Any unemployed person who really ***wants a job will offer to cut his or her wage*** until the wage is low enough to attract an offer from some employer. Similarly, anyone with an excess supply of goods on the shelf will cut prices so as to sell. Flexible ***adjustment of wages and prices leaves all individuals all the time in a situation in which they work as much as they want and firms produce as much as they want.***

The essence of the new classical approach is the assumption ***that markets are continuously in equilibrium***. In particular, new classical macroeconomists regard as ***incomplete or unsatisfactory*** any theory that **leaves open the possibility that private individuals could make themselves better off by trading among themselves.** As Lucas put it, "there are no $50 bills lying on the sidewalk," meaning that if there were ways in which individuals could improve their material position, they would do so.

Adherents of the ***new classical school do not doubt that the great depression did take place***, and they recognize that the measured unemployment rate occasionally reaches more than 10 percent. But they have ***developed explanations that try to account for high unemployment even when the new classical premises hold.***

## THE NEW KEYNESIANS

The new classical group remains highly influential in today's macroeconomics. But a new generation of scholars, the *new Keynesians*, mostly trained in the Keynesian tradition but moving beyond it, emerged in the 1980s.

The group includes among others George Akerlof and Janet Yellen and David Romer of the University of California-Berkeley, Olivier Blanchard of MIT, Greg Mankiw and Larry Summers of Harvard, and Ben Bernanke of Princeton University. ***They do not believe that markets clear all the time but seek to understand and explain exactly why markets can fail."***

The new Keynesians argue that markets sometimes do not clear even when individuals are looking out for their own interests.

***Both information problems and costs of changing prices lead to some price rigidities,*** which help cause macroeconomic fluctuations in output and employment.

- For example, in the labor market, firms that cut wages not only reduce the cost of labor but are also likely to wind up with a poor quality labor force.
- Thus they will be reluctant to cut wages.
- If it is **costly** for firms to change the prices they charge and the wages they pay, **the changes will be infrequent**; but if all firms adjust prices and wages infrequently, the economy wide level of **wages and prices may not be flexible enough to avoid occasional periods of even high unemployment.**

## ECONOMIC CONTROVERSY

There is no denying that there are conflicts of opinion and even theory between different camps. And because macroeconomics is about the real world, the differences that exist are sure to be highlighted in political and media discussions of economic policy.

It is also the case, though, that there are significant areas of agreement and that **the different** groups, through discussion and research, continually evolve new areas of consensus and a sharper idea of where precisely the differences lie. For instance, there is ***now a consensus emerging*** on the ***importance of information problems for wage and price setting and economic fluctuations***.

## LIMITATIONS OF MACROECONOMICS

Most limitations attempt to yield macroeconomic generalizations from individual behavior:

### 1) Fallacy of composition

This can be shown where ***aggregate economic behaviour is the sum of individual activities.*** But what is true of individuals is not necessarily true of the economy as a whole. E.g **savings are a private virtue but a public vice**. If total savings in the economy increase, they may **initiate a depression unless they**

**are invested**. Again if an ***individual depositor withdraws*** his money from the bank there is no danger, ***but if all depositors do this*** simultaneously, there will be a run on the banks and the banking system will adversely be affected.

**2) To regard aggregates as homogeneous**

The main defect in macro analysis is that it regards aggregates as **homogenous without caring about their internal composition and structure.** The average wage in the economy is the sum total of wages in all occupations, i.e. wages of clerks, typists, teachers, nurses, e.t.c. But the volume of aggregate unemployment depends on the relative structure of wages rather than on the average wage. If for instance,

- ***wages on nurses increases but of typists' falls, the average wage may remain unchanged***.
- But if the employment of nurses falls a little and of typists rises so much, aggregate employment would increase.

**3) Aggregate variables may not be important necessarily**

The aggregate variables which form the economic systems may not be of much significance.

- E.g The national income is the total of all individual incomes.
- A rise in national income does not mean that individual incomes have risen.
- The increase may be as a result of increase in incomes of a few rich people in the country.
- Thus a rise in national income of this type has little significance from the community point of view.

Boulding calls these three difficulties as '**macroeconomic paradoxes'** *which are* ***true when applied to a single individual but untrue when applied to the economic systems as a whole.***

**4) Indiscriminate use of macroeconomics is misleading**

An indiscriminate use of macroeconomics in analyzing problems of the real world can often be misleading.

- e.g. if the policy measures needed to achieve and maintain full employment in the economy are applied to structural unemployment in individual firms and industries, they become irrelevant.
- Similarly ***measures aimed at controlling general prices cannot be applied with much advantage to controlling prices of individual products***.

**5) Statistical and conceptual difficulties**

The measurement of macroeconomic concepts involves a number of statistical and conceptual difficulties.

- These problems relate to the aggregation of macroeconomic variables.
- If individual units are almost similar aggregation does not present much of a problem, but if they **microeconomic variables relate to similar individual units**, their aggregation into one ***macroeconomic variable may be wrong and dangerous.***